

TAVARES CLAIMS SERVICES, INC.

Business Impact Analysis (BIA)

Prepared by: GRC Function | Date: 2026-02-19 | Next Review: 2027-02-19

Fictional organization. Created for portfolio demonstration purposes.

1. Purpose & Scope

This Business Impact Analysis (BIA) identifies and prioritizes Tavares Claims Services' critical business processes, quantifies the operational and financial impact of their disruption, and establishes recovery objectives that inform Business Continuity and Disaster Recovery planning. This BIA covers all processes supporting claims processing, billing, and patient-facing services.

2. Methodology

Process owners were interviewed to identify dependencies, peak operating periods, and tolerance for downtime. Impact was assessed across financial, regulatory, customer/reputational, legal, and operational dimensions at 24-hour, 72-hour, and 1-week disruption intervals. Recovery Time Objective (RTO), Recovery Point Objective (RPO), and Maximum Tolerable Downtime (MTD) were then assigned per process and validated against current technical recovery capability.

- RTO — the maximum acceptable time to restore a process after disruption.
- RPO — the maximum acceptable amount of data loss, measured in time since the last recovery point.
- MTD — the absolute maximum duration a process can be unavailable before causing unacceptable harm to the organization.

3. Critical Business Process Inventory

Processes are ranked by criticality tier, with corresponding recovery objectives and estimated financial exposure per day of outage.

Business Process	Owner	Criticality	RTO	RPO	MTD	Financial Impact / Day	Dependencies
Claims Adjudication & Processing	VP Claims Operations	Critical	4 hours	1 hour	8 hours	\$180,000+	Claims DB, ClaimLink clearinghouse, adjudication rules engine
Patient Eligibility Verification	Director of Product	Critical	4 hours	1 hour	8 hours	\$95,000	Eligibility API, ClaimLink, payer connections
Billing & Revenue Cycle Management	Director of Finance	High	8 hours	4 hours	24 hours	\$60,000	BillWise vendor, billing DB, payment gateway
Patient Self-Service Portal	Director of Product	High	8 hours	4 hours	24 hours	\$25,000	Portal application, Okta SSO, API gateway
Provider Directory Services	API Platform	Medium	24 hours	12 hours	48 hours	\$8,000	Provider directory DB, public API

	Lead						
Internal Analytics & Reporting	Data Governance Lead	Medium	48 hours	24 hours	5 days	\$5,000	Data warehouse, BI tooling
Corporate Email & Collaboration	IT Director	Medium	24 hours	4 hours	48 hours	\$10,000 (productivity)	Google Workspace / Microsoft 365
HR / Payroll Processing	HR Director	Low	5 days	24 hours	10 days	\$3,000 (late fees/penalties)	HRIS platform, payroll processor

4. Impact Analysis by Disruption Duration

The table below illustrates escalating consequences for the organization's most critical process (Claims Adjudication & Processing) as an outage extends in duration.

Impact Category	24 Hours	72 Hours	1 Week
Financial	Moderate revenue delay; claims backlog begins accumulating	Significant cash flow impact; potential contractual SLA penalties with payer partners	Severe — risk of customer contract termination clauses being invoked
Regulatory / Compliance	Minimal	Potential HIPAA-adjacent reporting delays if PHI systems affected	Possible regulatory inquiry if patient data availability is prolonged
Customer / Reputational	Minor — internal awareness only	Customer support escalations increase; visible service degradation	Public-facing outage; risk of customer attrition and negative press
Legal / Contractual	None expected	Review of SLA credit obligations	Formal SLA breach notices likely for enterprise customers
Operational	Manual workarounds for claims team	Significant backlog requiring overtime/temp staffing to clear	Potential permanent data loss beyond RPO if not resolved

5. Key Findings & Gaps

- Current infrastructure is deployed in a single AWS region with an untested DR runbook (see Risk Register R-004), placing actual recovery capability below the 4-hour RTO required for Critical-tier processes.
- Claims Adjudication depends on a single engineer's undocumented knowledge of the legacy rules engine (see Risk Register R-015), representing a recovery risk independent of infrastructure resilience.
- Backup/restore testing has validated the database tier in isolation but not a full-stack recovery (application + infrastructure + data) against stated RTO/RPO targets.

6. Recommendations

- Prioritize multi-region failover architecture for Critical-tier processes (Claims Adjudication, Eligibility Verification) to close the gap between required and actual RTO.
- Conduct a full-stack disaster recovery exercise measuring actual recovery time against BIA-defined targets; report results to the CISO and executive leadership.

- Document the claims adjudication rules engine and cross-train a second engineer to eliminate key-person dependency.
- Re-validate this BIA annually or upon material changes to business process ownership, technology architecture, or customer contractual SLAs.

7. Approval

This BIA and its recovery objectives are reviewed and approved by the CISO, VP Claims Operations, and Director of Infrastructure, and are used as the basis for the organization's Business Continuity and Disaster Recovery Plan.